

Local development approaches and the ILDI mechanism

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Abstract

It seems that the past paradigm of regional analysis gives its place progressively to the approach of the dynamics of local development since the evolving localities constitute the development motor behind innovation and the overall national competitiveness. This study aims to analyze recent theoretical perspectives of clusters and business ecosystems and their relation to policies promoting local entrepreneurship and innovation. The “Local Development and Innovation Institutes” are a business ecosystem policy that aims to enhance the “Stra.Tech.Man physiology” and, thus, the potential of innovation for the entire socio-economic system. The Stra.Tech.Man approach suggests that every socio-economic organization articulates its competitive survival by the way it manages to synthesize the inner spheres of strategy, technology, and management.

Keywords

Local development; Clusters; Business ecosystems; Local Development and Innovation Institutes; Stra.Tech.Man physiology

JEL codes: R11, D21

1. Introduction

The current phase of crisis and restructuring of globalization brings various transformations both in our social symbiosis and the instruments social sciences use to interpret the reality (Laudicina & Peterson, 2016; Rodrik, 2011; Vlado et al., 2018). One area of research in which there is scientific rejuvenation is the broader context of socio-economic spatial sciences (Boschma & Frenken, 2006). The developments in the field of economic geography cause a profound reorientation in the traditional ways of economic thought applied to regional economics since it seems that almost a “new paradigm” emerges in Kuhnian terms (Kuhn, 1962).

This article aims to review recent local development approaches, such as clusters and business ecosystems, which seem to fit better in the emerging multidisciplinary and complex paradigm of

social sciences. The next section presents approaches of local dynamics, by emphasizing the role of clusters and local business ecosystems while the subsequent section discusses the policy implications of local dynamics approaches by attempting a synthesis in the form of a local development policy proposal.

2. Modern evolutionary approaches of local development: clusters and business ecosystems

In terms of understanding how local dynamics work, a gradual shift appears to be underway. The development from the “bottom” that reproduces its potential in an integrated and multi-level way into the socio-economic system constitutes a profound analytical transformation (Benko & Lipietz, 2000). From this point of view, development initiates mostly at the local level and expands to the other levels of the socio-economic system.

Development at the local level is also the result of unequal progress between different actors (Pike et al., 2007). There are differences in competitiveness, that is, exploitation of economies of scale and innovation, which cause specific areas to concentrate economic activities and create “winners” and “losers” among localities. Therefore, there are inherent forces of inequality on a local scale, and the remedy is successful government intervention—or market dynamics, in some cases (Araujo et al., 2008; Tomaskovic-Devey & Roscigno, 1997; Vladoš & Chatzinikolaou, 2019d). Therefore, a “spatially-oriented” governmental intervention can have various effects on the different social groups since it can both favor them and marginalize them. To this end, ideology and politics are crucial to legitimize any spatial intervention (Hadjimichalis & Hudson, 2014).

Recent contributions seem to enrich the theoretical view of local development and innovation and the local innovation environment or ecosystem (Audretsch & Lehmann, 2005; Aydalot, 1984; Balland et al., 2015). Most importantly, the analytical classes of clusters and business ecosystems seem to emerge as fertile elements of local development theories.

Concerning the history of the clusters concept, the Marshallian notion of “industrial districts” constitutes their theoretical predecessor (Becattini, 1990). The analysis of industrial districts (clusters) suggests that institutional boundaries exist across different spaces (Markusen, 1996). In the “standard” Porterian perspective, clusters are geographical arrays of interconnected industries and firms, which involve specialized knowledge among the companies and their customers (Porter, 1998, 2000). These firms undertake similar innovative activities since they compete and cooperate in the same locations, which are mostly high-cost urban centers (Malmberg & Maskell, 2002; Storper & Venables, 2004). More recently, the growing literature on clusters suggests a multi-disciplinary perception of the phenomenon (Lazzeretti et al., 2014). There is also a growing tendency to observe the cluster of firms from a micro-level perspective, meaning that firm innovation is the central actor of the system (Caloffi et al., 2018; Hervás-Oliver et al., 2015).

From the perspective of business ecosystems, these constitute a metaphor from biology to interpret the behavior of the socio-economic actors (Moore, 1993; Nelson et al., 2018). The business ecosystem metaphor suggests that the agglomerations of firms are not industry-specific since the actors co-evolve their capabilities and innovative potential (Fragidis et al., 2007; Peltoniemi & Vuori, 2004). The business ecosystem concept is primarily a strategic notion

(Iansiti & Levien, 2004; Li, 2009), in the sense that the survivability of the firm and the ecosystem as a whole come in a mutual relationship. The co-evolution of the elements of the business ecosystem is the main idea, in the sense that, despite referring to social organizations, there are specific environmental limitations in socio-economic development (Alvedalen & Boschma, 2017; Cavallo et al., 2018; Rong & Shi, 2015).

3. Local Development and Innovation Institutes

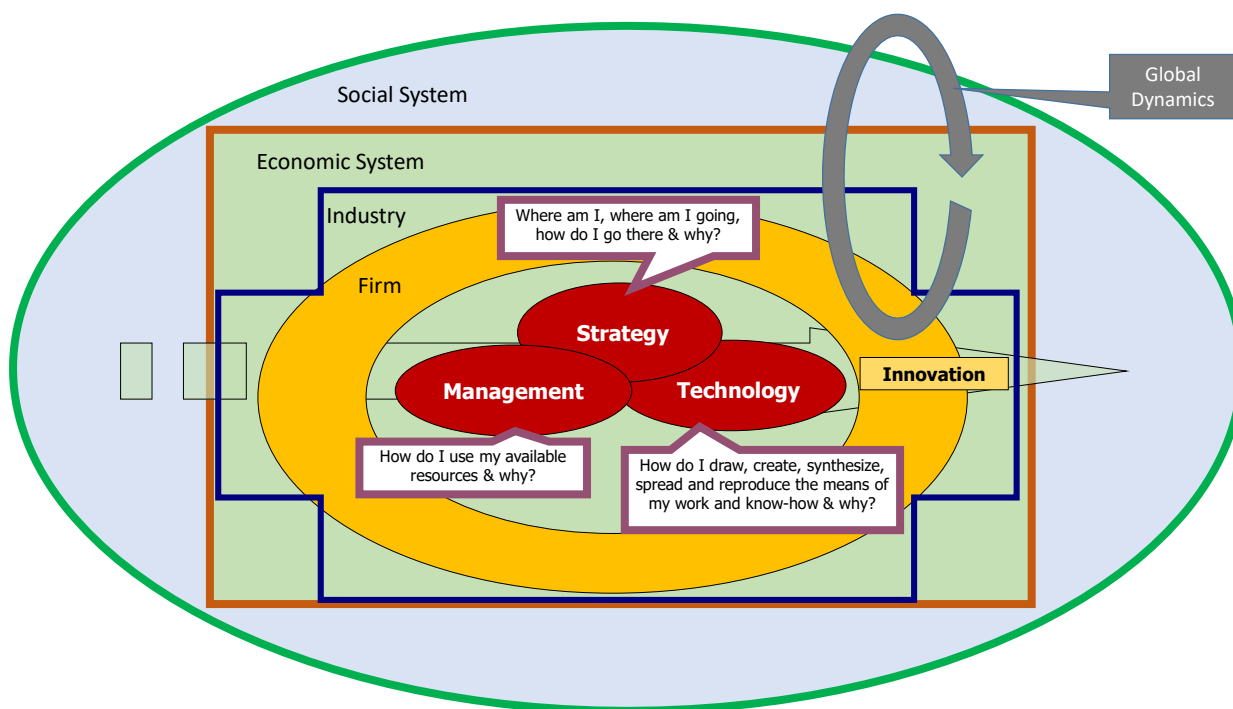
It seems that today a profound change of scope in local development takes place. The methods of intervention to enhance the competitiveness of local socio-economic systems face a transition from traditional regional policy instruments to more sophisticated and integrated approaches.

From the perspective of OECD (2009), a change of paradigm in regional policy is underway. In the old paradigm, the “objectives” used to focus on subsidizing disadvantaged regions directly, the “unit of the intervention” was the “strictly-defined” administrative unit, the strategy employed was sectoral, and the primary policy agent was the central government. Nowadays, in the emerging “new paradigm,” the objective is to foster regional competitiveness, the unit of intervention is the functional socio-economic space the strategy is multi-level and integrated, and the intervening actors come from both the different governmental levels and the private sector, and the civil society.

Therefore, the prevailing philosophy of intervention changes direction and scope. According to Vlados et al. (2019), instead of “pushing” businesses to invest in specific spaces, the goal is for the locations to attract investment. Instead of focusing on direct and short-term quantitative business benefits, the goal is to provide indirect and medium-term qualitative benefits. Instead of employing a concentrative logic of regional development, the goal is decentralization. This new philosophy, instead of attributing weight to control mechanisms, it focuses on creating knowledge diffusion and creativity instruments. Finally, instead of creating conditions for stabilization and reproduction of existing balances, it should venture on creating a dynamically evolving innovation environment.

One such policy proposal to support local development is the Local Development and Innovation Institutes (ILDIs). Initially, this mechanism could aim to diagnose and enhance the “physiology” of the socio-economic organization in “Stra.Tech.Man” terms (Figure 1). The “Stra.Tech.Man physiology” approach (Vlados, 2004) suggests that each socio-economic actor articulates its innovative potential based on the “idiosyncratic” way it manages to synthesize the distinct (but also co-evolving) internal spheres of strategy, technology, and management.

Figure 1: The Stra.Tech.Man approach of the socio-economic organization, based on Vlado (2004)

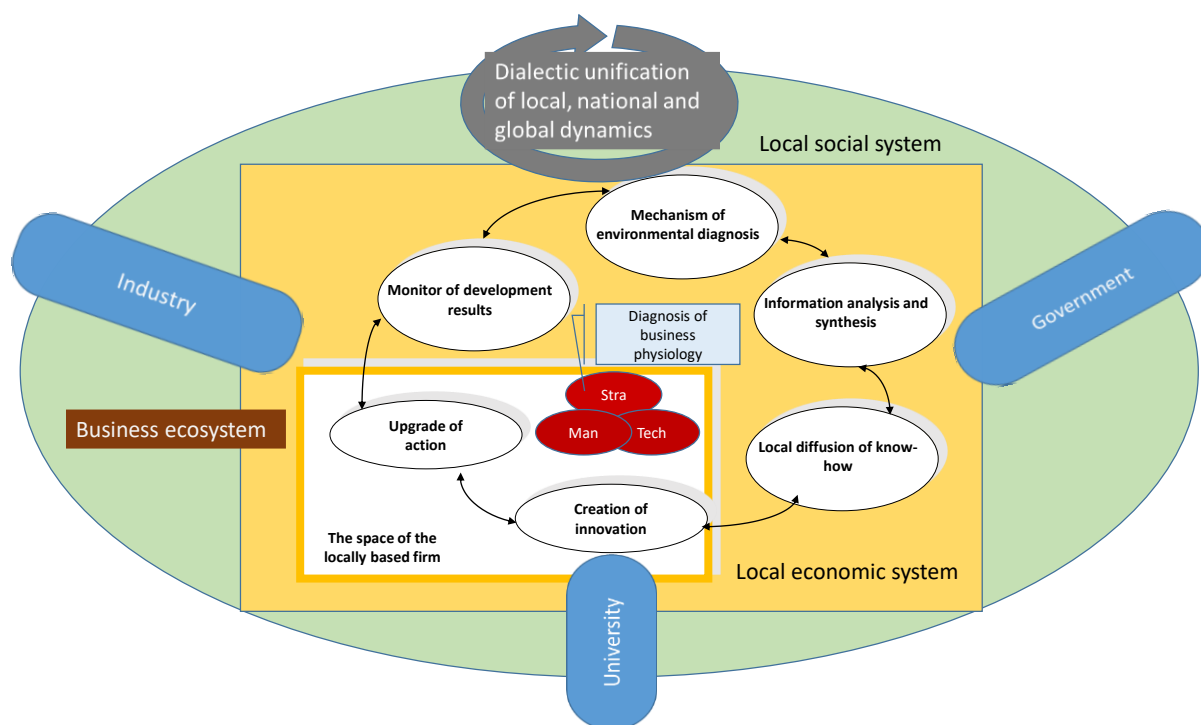


Each of the spheres corresponds to a set of dialectical questions, which in their composition determine the evolutionary dynamics of the firm (Chatzinikolaou & Vlado, 2019a). The strategic questions correspond to “where am I, where am I going, how do I go there, and why.” The technological questions point to “how do I design, create, synthesize, spread and reproduce the means of my work and expertise, and why.” Finally, the managerial questions address the problem of “how do I use my available resources, and why.” The Stra.Tech.Man dynamics represent the unique ways in which the firm can “think” and “act” innovatively within the hosting environment (industry, economic system, and social system).

This “biology-engineered” approach to business behavior means that innovation diffuses its dynamics in the local system and, consequently, transforms the “higher” levels of the system (the innovation environment). In this sense, the internal and external organizational environment are two “co-evolving realities” and not two separate analytical spheres (Vlado & Chatzinikolaou, 2019b). In simple words, the business firm shapes its internal and external environment simultaneously.

Nowadays, the business ecosystem concept uses this “biological pattern of the firm” (Chatzinikolaou & Vlado, 2019b; Geus, 2002; Nelson & Winter, 1982; Penrose, 1952; Rinkinen & Harmaakorpi, 2018). Local Development and Innovation Institutes are a “business ecosystems policy,” in the sense that they target the fostering of local entrepreneurship by diagnosing the potential for innovation in Stra.Tech.Man terms (Figure 2).

Figure 2: Local Development and Innovation Institutes, based on Vlado and Chatzinikolaou (2019a)



Vlados and Chatzinikolaou (2019a) suggest the establishment of this policy in the Greek regions since it can enhance the innovative potential of the Stra.Tech.Man physiology of the firms of a (mostly less developed) local business ecosystem. This policy has three essential analytical components to achieve the goal of boosting entrepreneurship at the local level:

- ❖ Firstly, it recognizes the need to enhance the evolutionary interconnection between the triple helix actors, that is, the co-evolution between the local institutions of industry, government, and university (Vlados & Chatzinikolaou, 2019c).
- ❖ Secondly, it builds a continuous mechanism for fostering the entrepreneurship potential consisting of successive steps:
 - It initially scans and detects the “environmental potential.”
 - It analyzes the available data and information.
 - It aims to diffuse the existing expertise locally.
 - It targets the creation of innovation and the upgrading of local firms.
 - It finally builds a development observatory that gathers the results of the mechanism and starts over.

Finally, the ILDI approach assumes that socio-economic development at the global level begins now from the locality and its innovation. Local innovation is the primary force of socio-economic development that evolutionarily connects the levels of space in today’s analysis of economic geography (firm, locality, nation, region, and globalization).

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